

Institute of Actuaries of India

Subject SP2 – Life Insurance Principles

September 2021 Examination

INDICATIVE SOLUTION

Introduction

The indicative solution has been written by the Examiners with the aim of helping candidates. The solutions given are only indicative. It is realized that there could be other points as valid answers and examiner have given credit for any alternative approach or interpretation which they consider to be reasonable.

Solution 1:

i)

a) Policyholder

Policyholder's investment risk:

- A return if equal to the inflation over the term will result into zero real rate of return for the policyholder (1/2)
- The risk also arises from inflation unexpectedly or permanently taking a fall at some stage during the policy term thus the return may be lower than the nominal return bonds (1)
- On the other hand, the policyholder will gain most from unexpected periods of high inflation, compared with alternative investments. (1/2) (2)

b) The insurance company

- The insurer's risk depends mainly on the degree of matching achieved. 100% investment in inflation-hedged indices would be the best match. However, the real return offered by such index will probably be quite low. So, there will be little money left over, after paying for expenses and death cost, to make profit. (1)
- The market may not have sufficient quantum of inflation hedged assets to exactly match the liability and hence may have mismatch risk (1/2)
- The company may adopt a slightly mismatched strategy to achieve higher real return eg investing in a mix of domestic equities and index-linked government securities. However, this may leave the company with the risk of making investment losses if the assets held do not move in line with the index. In such instances, the company is exposed to basis risk (1) (2)

ii)

- The alternative product categories to mitigate risk to the insurer are unit-linked product and with-profits product. (1)
- In unit-linked product, the investment risk is borne by the policyholder. The problem to match the movements in the index will require rebalancing the portfolio thereby increasing the dealing costs. (1½)
- In with-profits product, the investment risk is relatively low as bonus is dependent on the investment return earned on the fund, however, bonus once allocated becomes guaranteed thereby introducing investment risk only to the extent of guaranteed benefits (1½) (4) [8]

Solution 2:

- The factor-based solvency does not capture the risk management framework and it could be that owing to weak risk management controls, the risk-based capital might be higher. (1/2)
- The Company may be selling a very high quantity of investment guaranteed products like a guaranteed return or NAV guaranteed products which will have high risk weights under RBC whilst the factor based capital will not capture the quantum of risk these products carry (1)
- The operational risk may be higher due to not having robust policy administration system and inadequate operational process controls which may lead to higher operational risk capital which is not captured by factor- based capital regime. Also, the Company may not

have appropriate data management controls which may lead to data risk and hence may need more capital under RBC. (1)

- The traditional products may have been priced in a high interest rate environment whilst currently the interest rates may have declined which might have necessitated the company to provide higher interest rate risk capital for these liabilities (1)
- The Company may have significant Asset Liability Mismatch thus entailing higher capital whilst factor based capital regime does not capture such risk capital (1)
- The Company may also be investing significant amounts of monies in high risk assets such as equities, lower rated corporate bonds etc., to gain yield advantage . However such risk assets attract more capital requirements in case of RBC whilst factor based capital does not have any such additional capital requirements (1)
- The demographic risk may be high owing to the weak assumptions in place viz mortality and withdrawal (1)
- The Correlations amongst the risks may be higher thus entailing more capital whilst such risk correlations will not be captured by factor- based capital (1/2)
- The reserves may not have sufficient prudence thereby leading to lower factor-based capital requirements (1/2)
- The Company may have written significant amount of business in one geographic area or in one line of business thus having higher concentration risk which is not captured by factor based capital method (1/2)
- The Company may not have robust modelling mechanisms which may have required additional model risk capital (1/2)
- The Company may not have taken appropriately into account the reduction in capital due to negative correlations between some of the risks (1/2)
- The models used to estimate the required capital may be wrong or may not be appropriate to the company's business (1/2)

[Max 7]

Solution 3:

i)

- Product Development
- Distribution
- Underwriting
- Policy Servicing
- Accounting
- Claims settlement
- Actuarial Functions
- Investment Functions
- Information & Technology development
- Compliance
- Audit & Inspection

ii)

(a) Strategic Risks:

- Standard of the activities carried out by the outsourcing service provider may not meet the objectives and strategic goals of the Branch;
- Being an overseas branch, there is lack of appropriate oversight of the outsourcing service provider

(b) Reputational Risk:

- Not meeting the expectations of Policyholders;
- Poor Service standards provided by the service provider that do not meet the standards of the Company;
- Risk if the policies are not serviced properly and likely increase in customer complaints and possible regulatory penalties.
- For Investment Service provider, investments made are not generating enough returns as compared with competitors and are incurring losses.
- Unethical practices of outsourcing service provider

(c) Compliance Risk:

- Compliance risk if the local regulations pertaining to outsourcing, policy servicing and investment activities are not adhered to;
- The risk is enhanced , even if the activity is outsourced, the branch shall remain responsible for regulatory compliance for the outsourced activities
- Further, changes in regulations may not be communicated to outsourcing service provider in a timely manner which may increase compliance risk
- Risk related to security of policyholders' data
- The risk is enhanced in case of overseas branch as the branch will be exposed to data protection regulation of the parent company as well as the overseas country
- For Investment Service provider, there is a risk that the investments made by the vendor has breached (either actively or passively) the regulatory limits or the admissibility rules set by the regulator

(d) Operational Risk:

- Risk of failed or inadequate internal process or procedure to carry out the outsourced activity;
- Technology failure;
- Key Staff of the outsourced service provider have left the organisation;
- No back up plan or the contingency plan put in place;
- Fraud or manual errors;
- Delay in providing timely data and information to the Company or Regulator;
- Failure of the parent company to undertake inspections of outsourcing service provider and review the service level agreement;

(e) Exit strategy Risk:

- No clause to review the agreement and exit clauses
- Even if the exit clause is available, the terms of exit may be very complex and time consuming with associated high costs
- Lack of relevant skills or resources within the Company , preventing it from bringing an outsourced activity back in-house

[1/2 marks for each point, max 5]

iii)

- The type of assets in which a life insurance company can invest...;
- ... for e.g. investment in government bonds, corporate bonds, equities, properties or derivatives;
- The regulatory may require a certain quality of the assets to be held...;
- ...for e.g. it may specify certain credit rating below which the investments are not allowed;
- Further, it may impose admissibility rules, restricting the amount and quality of assets which can be treated as admissible for demonstrating solvency purposes.
- The regulator may impose limits on the assets or the concentration of assets allowed to be invested overseas including the parent country for the branches having parents in outside countries;
- The regulator may also impose the extent to which the mismatching may be allowed in comparison to the liability profile of the company;
- Limiting maximum exposure to a single counterparty, or a specific asset;
- Limits on the investment of equities of the minimum amount or proportion to be invested in fixed stock in order to limit the exposure to the equity;
- Restrictions on the investment in derivatives;
- The way in which a particular asset may be valued could be restricted for e.g. book value or market value;

[1/2 marks for each point, max 5]

[12 Marks]

Solution 4: i)

- i. Appraisal value is the sum of the embedded value of the company and the value to its shareholders of the future profits they expect to receive from future new business. (1/2)
- ii. If an appraisal value is prepared as a sale value, usually it is based on realistic assumptions without margins. (1/2)
- iii. And the purchase value may be based on cautious assumptions that include margins. (1/2)
- iv. Purchase value will be lower than the sale value. (1/2)
- v. Final price agreed for the business will depend on the relative bargaining power of the buyer and seller. (1/2)

(2)

ii)

a)

- Embedded value is the present value of future shareholder profits with respect to the existing business of an insurer plus the shareholder-owned net assets. (1/2)
- **Present value of future shareholder profits arising on existing business:**
 - Future cashflows on the existing business are projected and used to estimate the future shareholder profit. (1/2)
- Future profits are discounted back at an appropriate rate to determine their present value. (1/2)
- Calculation of shareholder profits may differ depending on the type of business. (1/2)

- Embedded value is calculated, generally, on a more realistic basis than the reserving basis, to give a more realistic assessment of the value of the insurance company to its shareholders. (1/2)
- **Assumptions:**
- EV basis is determined based on the purpose for which the EV is calculated. (1/2)
- Starting point to decide on a suitable basis is the basis used for the previous embedded value calculation. (1/2)
- Two different bases are required to calculate an embedded value i.e., reserving basis and projection basis. (1/2)
- Irrespective of the purpose for which the EV is calculated, reserves used in the calculations are based on the supervisory reserving basis. (1/2)
- Projection basis used in the EV calculations projects the company's experience into the future, through the calculation of the present value of future shareholder profits. (1/2)
- The values assigned to the bases i.e., mortality, expenses, persistency and investment return reflect the expected future experience of the business under consideration and are generally best estimate assumptions (1/2)
- However small risk margin is allowed for the unpredictability of profit emergence. These margins, however, will be much lower than those used in reserving basis (1/2)
- All experience items are allowed for explicitly (expenses, persistency, investment return, mortality, tax outgo). (1/2)
- Negative reserves are not zeroised. (1/2)
- Rate of interest used to discount the future streams of surplus reflect the risk inherent in these amounts. Risk discount rates would be higher, if future profits are uncertain and also will reflect the return expected by the shareholders for the risk that they take for doing life insurance business. The RDR will typically be higher than the return expected from broad country's equity market (1)

(7)

b)

Insurer has observed significant adverse experience due to pandemic, in particular, for mortality, persistency and investment. Regulator may mandate to allow for adverse experience while calculating the EV.

- i. As insurer is required to set basis for supervisory reserves and also for projection of cashflows.
- ii. Assumptions for supervisory reserve will have to reflect the associated risks with appropriate prudent margins

The degree of prudence will depend on the required solvency capital to be held – if this is large then the reserves need not be so very prudent (many jurisdictions use best estimate reserves), if it is small or zero then extra prudence will be required within the reserves.

[a] Mortality –

It should reflect the revised expected future mortality of the insured lives, allowing for the type of insurance and distribution channel, from the recent mortality investigations.

May have to allow for higher than normal prudence and for further deterioration, if circumstances suggest, due to the ongoing pandemic and the regulatory requirements.

Higher mortality assumptions will lead to higher supervisory reserves.

In case of EV cash flows, the claims paid in each year are expected to be higher due to pandemic for the next few years as compared to normal circumstances.

[b] Persistency -

Adverse experience in persistency would have led to increased lapses or surrenders.

Assumption needs to account for the adverse experience from the recent investigations allowing for prudence and possible further deterioration depending on the type of the business, premium paying capabilities, mode and other relevant factors. Therefore the lapse assumptions may have to increase both from the reserving perspective as well as from EV cashflows perspective.

For supervisory reserves, the prudence margin may be higher than in normal circumstances thus it could lead to either higher/lower reserves depending upon how the liabilities and future premiums interact.

The EV cashflows will reduce as future premiums reduce more than in normal circumstances.

[c] Interest rate –

Adverse experience in the investment return could be a result of many factors like reduction in yields, reinvestment yields, currency fluctuation, mismatch of assets and liabilities. Considering the changed scenario and allowing for appropriate margins interest rate to be estimated.

Therefore the interest rate used for supervisory reserves may be lower thus increasing the supervisory reserves.

Lower interest rate is to be used for estimating the investment income in case of EV cashflows.

The RDR used for discounting the EV cashflows may also increase due to higher perception of risks.

(4)

c)

Impact on the EV and sale value:

Mortality: possible higher claims costs and the higher supervisory reserves thus slower release of reserves will lead to lower net cashflows and hence reduced EV. Even if the EV is calculated without margins, the sale value would still be less than the EV calculated under the normal circumstances, due to the possibility of reduction in the future profits due to adverse future experience.

- (i) Interest Rate: Investment income that could be generated could be less than expected. The risk discount rate to be used to discount the cashflows may be higher than in normal circumstances due to perceived higher risks and increased uncertainty of future cash flows..

Due to possible higher claims and reduced investment income, the overall profit generated could be reduced, leading to reduced EV. As the insurer is experiencing adverse experience, it may adversely affect the good will factor, thus having an adverse impact on the sale value.

- (ii) Persistency: Adverse experience could lead to reduced renewal premiums impacting the premium income and the expense sharing. This may also increase the expense gap or reduce the expense surplus thus impacting the net profits. Besides, there is a possibility of negative impact due to possible increase in adverse selection, if more people in good health lapse their policies.

Thus an increase in lapsation may impact EV and Sale Value negatively, even though there is a possibility of reduction in supervisory reserves due to higher than expected lapses (assuming lapse support products are in existence)

(6)

[19 Marks]

Solution 5:

i)

- It is assumed that the question is about the new business for term insurance policies only and the reinsurance companies are continuing to support the insurers in terms of existing business.
- Insurers would find it difficult to accept insurance policies without the support of reinsurers, in particular, for the policies to the extent of sum assured reinsured.
- In such case, as insurers are highly dependant on reinsurer, their ability to underwrite would reduce
- Possibly be limited to the portion retained depending on the target market and distribution channels.
- This could impact the overall new business negatively
- It could also invite reputational risk.
- If the insurer is dependent on the reinsurer for underwriting, and does not have inhouse capacity, it may result in loss of business.
- High sum assured policies may be either rejected or offered reduced term, leading to dissatisfaction from the policyholders.
- Could face financial crisis, if the reinsurer is supporting the insurer through financial reinsurance, for writing the term insurance business and capital requirements.
- In such cases, insurer may have to find alternative sources of funding. (1/2)
- If funding is readily not available, insurer might find it difficult to write the business or to support other activities. (1/2)
- If the reinsurance is taken to address the claims volatility, insurer may find it difficult to accept the business without the support of reinsurance leading to possible loss of business. (1/2)
- If the business is accepted without reinsurance, insurer needs to find alternative ways to address the claims fluctuations like mortality fluctuation reserve. (1/2)
- However, this is subject to availability of sufficient amounts of funds to support maintaining such reserves. (1/2)
- If reinsurers are not providing reinsurance support due to the possible adverse impact of the pandemic on the mortality experience, it would further:
 - increase the risk to the insurers in terms of adverse mortality experience, even if the sum assured is limited to the retention capacity. (1)
 - increase the demand for new business proposals perceiving the need for insurance – possibly leading to more uncertainty for the insurer if the policies are accepted and to bad publicity if not accepted. (1)
- If there is any mandate from the regulator to provide insurance cover, it would lead to further uncertainties depending on the type of mandate the regulator imposes. (1)

(9)

ii)

If other insurers are allowed to provide reinsurance coverage:

- i. Insurers may not have the expertise and exposure that reinsurers might have in providing various kinds of services like underwriting support, accepting higher risk proposals, financial reinsurance support, product design support.
- ii. To that extent, the proposal may not provide necessary support that Insurers look for.
- iii. If all insurers participate in providing reinsurance coverage to other insurers, there is every possibility that the sum assured reinsured could be retro ceded back as part of the retro session accepted by the insurer from other insurers. This may lead to retaining more sum assured than expected ~~by accepting~~ on a particular policy.
- iv. On the other hand, This may help the industry to write high Sum Assured policies if companies with large surplus capital t provide reinsurance support thus utilising their

(5)

- capital to earn better returns. These companies may be able to charge reinsurance premia with sufficient margins due to supply demand gap.
- v. Insurers should establish appropriate systems to eliminate accepting such policies. This would lead to higher costs or delay in providing reinsurance support or rejecting reinsurance/retro sessions.
 - vi. Insurers may need more capital to write reinsurance business as well as to maintain solvency.
 - vii. If insurers do not have appropriate levels of capital, the entire proposal may not actually provide any solution to the insurers.
 - viii. There could be delays in accepting the proposals, if the business is written on facultative treaty terms, as insurers may adopt cautious approach in accepting reinsurance.
 - ix. If any insurer has solvency issues, all other insurers may find it difficult for getting their claims settled and may result in defaulting their claims. This may result in the entire industry and each insurer facing counterparty risk.
 - x. As the proposal is only for two years, insurers may not have the incentive to establish appropriate systems and build appropriate capacities to conduct reinsurance business, as it involves additional costs.

[1/2 mark for each point]

[14 Marks]

Solution 6:

i)

Principles to be considered in assessing alteration methods include:

- i. Affordability
- ii. Consistency with boundary conditions, eg surrender, paid-up, new policy
- iii. Stability
- iv. Avoidance of lapse and re-entry
- v. Fairness in terms of extracting a suitable amount of profit from the altered policy
- vi. Ease of calculation and of explanation to the policyholder.

(2)

ii)

- i. Two methods that can be used to calculate alteration terms include proportionate paid-up values and equating policy values.
- ii. Proportionate paid-up values for with-profits endowment assurances with only terminal bonus payable on death, maturity and surrender would be:
 - a. If the premium is not paid in full during the first five years: paid-up value may be calculated as the basic sum assured multiplied by the ratio of the total number of premiums actually paid to those originally payable throughout the total term.
- iii. If the premium is paid in full during the first five years: paid-up value may be calculated as the basic sum assured multiplied by the ratio of the total number of premiums actually paid to those originally payable throughout the total term. No allowance can be given to terminal bonus as the terminal bonus does not vest till the time the policy either matures or gets surrendered.
- iv. Therefore, the paid-up value remains the same irrespective of the number of premiums paid as terminal bonus does not have any impact on it.
- v. Assessing - Meeting the principles:
 - a. Proportionate paid-up values could be too high at short durations, as they ignore high initial expenses and will not be factored into the calculations.
 - b. In with-profit policies, the premium will be relatively higher in anticipation of bonus declarations. If bonus is not provided regularly during the period of the

- contract and only terminal bonus becomes payable, then there can't be any allowance made in the proportionate paid-up values.
- c. As the duration progresses, the value tends to be too low, as no allowance is made for bonus declarations in full and allowance for investment earnings
 - d. Proportionate value possibly can be seen as understating the true value of the policy, although it will tend to the maturity value as the duration of making the policy paid-up approaches the maturity date.
 - e. The proportionate paid-up values do not run into maturity and surrender values smoothly as both surrender & maturity values take into consideration the terminal bonus declared at that point in time will typically be much higher than the proportionate paid-up values.
- vi. Equating policy values for with-profits endowment assurances with only terminal bonus payable on death, maturity and surrender would be:
- a. Value of the contract before alteration, on a prospective or retrospective basis, can be equated to a prospective value after alteration taking into account the changes requested to the terms of the contract. If the alteration is proposed to happen within the first five years, allowance for terminal bonus would not be considered.
 - b. Can be used for any type of alteration, including conversion to paid-up status. Alterations to satisfy any given specification for the values of S' and P' can be determined using this relationship.
- vii. Assessing - Meeting the principles:
- a. When estimating the policy reserves, typically provision will be made for the final terminal bonus to meet the PREs as it is assumed that the sales literature would mention possible payment of terminal bonuses based on experience.
 - b. Therefore, It produces consistent surrender values immediately before and after alteration if the same methods and assumptions are used as for calculating surrender values. Surrender values would not consider terminal bonus, if it happens before the first five years
 - c. Ensure consistency with the terms for new contracts.
 - d. Consistency between the terms for alterations, surrender values and conversions to paid-up status, if the same bases are used. However, the values differ before first five years and after five years.
 - e. If same basis is used for the before and after policy values, the method is stable.
 - f. Lapse and re-entry could not be checked, as the method doesn't verify the premium otherwise applicable for new contract.

[1/2 mark for each point]

[Max 10]

iii)

Possible investment strategy for this product could be:

- i. Though the question doesn't provide details of the level of guaranteed sum assured, it is presumed that the products provide for a reasonable amount of guaranteed sum assured, as there are no regular bonuses payable, except for terminal bonus. (1)
- ii. Hence liabilities under this product can be categorized in terms of guaranteed in money terms and discretionary.
- iii. Liabilities guaranteed in monetary terms can be matched with appropriate government bonds and some corporate bonds of suitable term.
- iv. To meet the discretionary liabilities, investment in equities and in some property may be considered.

- v. As only terminal bonus is payable and there are no additional guarantees being built during the term of the contract, insurer has freedom to choose, subject to policyholders' reasonable expectations and other available free assets.
- medium to high risk equities or even apply slightly riskier strategy in selecting equities,
 - invest in overseas market subject to regulatory requirements and appropriate hedging of currency risk. (1)
- vi. May also hold sufficient liquid assets to meet its activities.
- vii. If the insurer also pays regular bonuses, the possible difference could be that the sum assured guaranteed could be lower than the product under discussion as the benefits keep gradually increasing and may form a significant portion of the total benefit. However in the earlier product with only terminal bonus, there is a fixed Sum Assured and one lumpsum benefit of terminal bonus payable at the time of maturity /surrender. Hence in case of regular bonuses, the guarantees in the form of declared bonuses gradually build up every year with declared regular bonuses. (1)
- viii. To start with the guaranteed sum assured liability could be matched similar to the other product, but for a lesser amount as bonuses gradually build up.
- ix. Portion of this matching assets should be monitored closely and matched regularly to the increase in guaranteed portion. This is unlikely in the other product.
- x. Given that the guaranteed portions increase every year with declared regular bonuses, the investments may have to be shifted from riskier assets like equities into fixed income securities (both government & corporate bonds) to match the assets to liabilities. This may reduce the overall investment return as the yields expected on fixed income securities are lower than those on equities
- xi. Also, the discretionary amounts also vary during the product term, hence, the matching equities and properties to be selected to reflect low or medium risk, subject to PPH and free assets.

[1/2 marks for all other points Max 8 Marks]

[20 Marks]

Solution 7:

i)

Various measures that may be taken are:

Revenue enhancement (Expansion of the distribution reach)

- Sales restructuring to enable synergies and productivity gains
- Focus on proprietary and other channels like bancassurance where cost of distribution is low
- Empanelment of new alliances with improved productivity
- Digital drive for simple products and for niche markets
- Orphan policies management to improve persistency

Operational efficiency improvement

- Launching of new digital initiatives like mobile sales tool, chatbot providing an opportunity for greater customer connectivity
- Auto-underwriting tool- Video / live chat with customers

Cost optimization

- Restructuring / reduction of non-sales staff to attain an optimum sales to support ratio for improving overall productivity
- Branch or channel closure / resizing where costs outweigh benefits but without impacting customer service

- Reducing the rental expenses through revised lease agreements by moving to new premises or reducing the floor area occupied so as to optimise expense / premium ratio to desired levels
- Consideration to create of digital / virtual branches (especially in the current pandemic scenario)
- Optimising the fixed cost by increasing the variable cost factor where feasible eg building persistency target in sales reward and recognition program

(7)

ii)

Product design parameters to be considered are:

- Profitability- the product should meet the desired profit criterion measured in terms of profit margin or payback period, discounted payback period, IRR to the shareholder
- Marketability & target market- considerations should be given to the acceptability of the product in the market and whether it suits the need of the target market for which it is designed. Also, whether the product is competitive enough as compared to similar products available in the market to generate desired sales volume
- Risk considerations especially availability of appropriate data for mortality assessment- mortality being the key risk to be considered while pricing, hence the company need to be cautious and strike a balance between prudence and competitiveness. The Company should consider if there is sufficient data available to appropriately price the risk, if not then whether to look for the support from reinsurers in the market. The data should not be outdated and it should reflect the current trends. Care should be taken so that premium rates charged are fair in line with the risk.
- System requirements- focusing on online channel requires modification in the system to manage the process smoothly from filing up the proposal forms to payment of premium. Robust security measures should be in place to avoid any fraud or potential virus attacks so that there are no data leaks. The cost of system has to be assessed and factored into the pricing to charge appropriate premiums.
- Capital requirements- The level of capital required to set up the entire system including the amount to meet the initial strain should be assessed. Sufficient capital should be available to manage the solvency levels. The term business is a capital-intensive business and hence the volume of business to be written should be governed by the level of available capital.
- Regulatory requirements – Any regulatory guidance / Regulations should be taken into account before proceeding with the product development. The product should be compliant to regulatory standards and that the cost of compliance should also be appropriately considered while pricing.

(5)

iii)

- For selling the products through price comparison website, the prices must be competitive;
- Hence the insurer may have to price the product with lower profit margin;
- Or, can even decide to sell the product as a loss leader;
- Which may be detrimental for the insurer if the desired level of market share could not be achieved;
- There will be mortality risk if the target market (eg by socio-economic group or geographical region) differs between those using comparison websites and those who would go direct to the insurer's website;
- Risk related to data might be there if there is not sufficiently reliable and credible data for pricing the products through online comparison website;

- The company may have to change the application and underwriting process in order to align it with the price comparison site's standard approach. For example the company may need to:
 - Lenient underwriting or higher non-medical limits to facilitate quick onboarding
 - use fewer rating factors in its premium rating
 - change its definition of 'smoker status'.
- Further, there will be risk of new business volume greater than expected through the comparison site channel which might give rise to capital strain or issues with the insurer's administrative capacity;
- On the other hand, lower than expected level of new business through comparison site may pose the risk to the insurer as the initial costs of customising/ developing the product as per competitors' products in the comparison site might not be recouped.
- Also, for products to be sold through comparison site, the product features and terms and conditions should also be similar to that provided by competitors;
- Little or no scope to introduce complex features even if the company wishes to do so for increasing attractiveness;
- Since the price and features will be more or less similar among insurers selling products via comparison website, the focus of the companies will be on the service standards;
- Which may pose a risk to the insurer if it has lack of expertise in IT area or if the company has lack of manpower to handle the complaints or queries of the proposer who want to purchase the products online;
- It may pose reputational risk for the insurer as the bad reviews posted by proposers on the online platform may lead to loss of future sales or the insurer by this platform;
- It may further lead to higher lapses which may exacerbate the problem of the insurer;
- Expense risk arising due to increase in charges levied by the vendor and / or
- System costs may increase more than that anticipated by the insurer
- There will be additional operational risks, for example:
 - the insurance company's internal systems and the price comparison website systems need to be compatible and able to share data reliably
 - additional risks relating to data security.
- There is a risk that the data captured by the comparison site is not sufficiently detailed or accurate
- There is a risk that the originally quoted premiums change upon asking additional questions, etc;
- Counterparty risk arising from reliance on the comparison site, eg counterparty IT issues leading to a loss of sales;
- Risk of breaching regulatory requirements for advertisement & marketing rules.
- Risk of mis-selling issues due to differentiated / incorrect marketing of products leading to disgruntled policyholders and hence higher free-look cancellations
- There may also be an increased risk of non-disclosure if customers perceive the comparison sites to be relatively detached from the insurance company.

[(1/2) mark for each valid point, Max 8]

[20 Marks]
